

matter for how large the effects are," she says.

Apart from goods, the deals will also benefit services, India's dominant growth engine, as mobility-related provisions will ensure more visas for students and skilled professionals amid concerns over US restrictions on H1-B visas.

THE TRIGGER

With trade relations with the US hanging fire after Donald Trump took office as US President for a second term in early 2025, India embarked on a plan to diversify its export markets and basket.

Between last July and January, India concluded trade negotiations or signed agreements with as many as five countries, including the UK, Oman, New Zealand, the EU and the US. Besides, the Trade and Economic Partnership Agreement with the four-nation bloc of Switzerland, Norway, Liechtenstein and Iceland came into effect on October 1, 2025. India recently signed the terms of reference for the India-Gulf Cooperation Council FTA. It is not uncommon to find officials in New Delhi's Vanijya Bhawan, which houses the ministry of commerce and industry, holding back-to-back talks with partner countries to conclude trade deals.

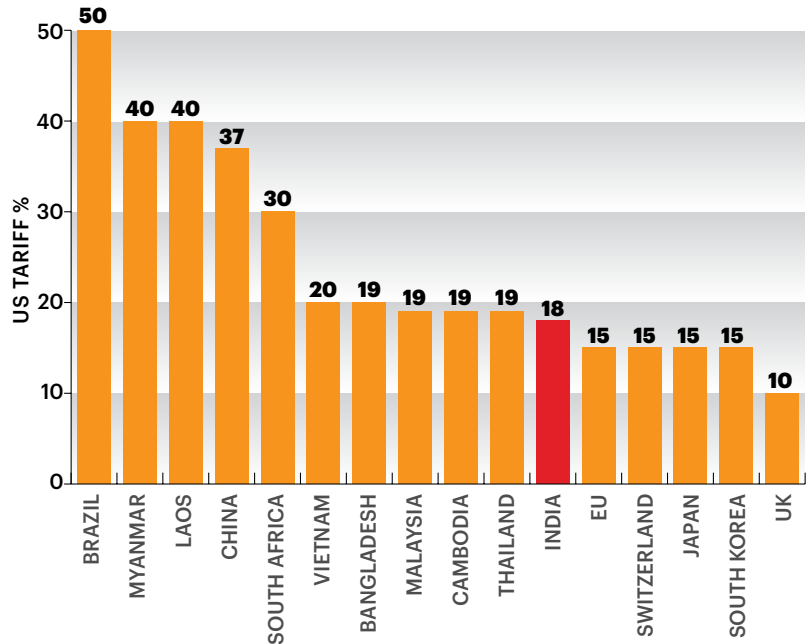
India's strategy, accompanied by a focus on domestic reforms to boost consumption, has paid off. It has managed to shrug off the impact of US tariffs with merchandise exports rising 2.62% between April and November 2025 and 19.4% to \$38.13 billion in November 2025. Merchandise exports to the US rose 22.61% to \$6.98 billion in November after shrinking for two straight months.

EUROPE CALLING

The pact with the EU—talks for which started in 2007 and had to be

INDIA-US TRADE TRUCE

- The US has agreed to lower the 50% tariff on select Indian exports to 18%; India will face one of the lowest tariffs among emerging economies
- India will purchase \$500 billion of US goods, including in energy, coal, technology and agriculture, over the next five years
- The US remains India's largest export destination accounting for 19.8% of its total exports



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stopped in 2013 due to EU's withdrawal before being reinitiated in 2016—comes against this backdrop. Policy watchers say the deal was expedited due to global uncertainty from US' protectionist policies and the need for India and the EU to find stable markets. India's key labour-intensive sectors such as textiles, apparel, marine, leather, footwear, chemicals, plastics, rubber, sports goods, toys, and gems and jewellery will enjoy zero duty access to the EU from 4-26% at present. The EU will reduce or eliminate tariffs on 98% of India's exports.

Commerce and Industry Minister Piyush Goyal says the deal will

lead to massive trade, investment and job opportunities. Merchandise trade between India and the EU was \$136.54 billion in FY25. The deal is expected to double it by 2032.

Alexandra Hermann, Lead Economist, Oxford Economics, says the effective tariff in the EU averages 3.3%, and so aggregate gains from further cuts are likely to be modest. "Sector-specific benefits, however, could be more significant, particularly for textiles and apparel, which have faced the highest duties of around 10%," she says.

The FTA also secures commitments for key sectors that are In-